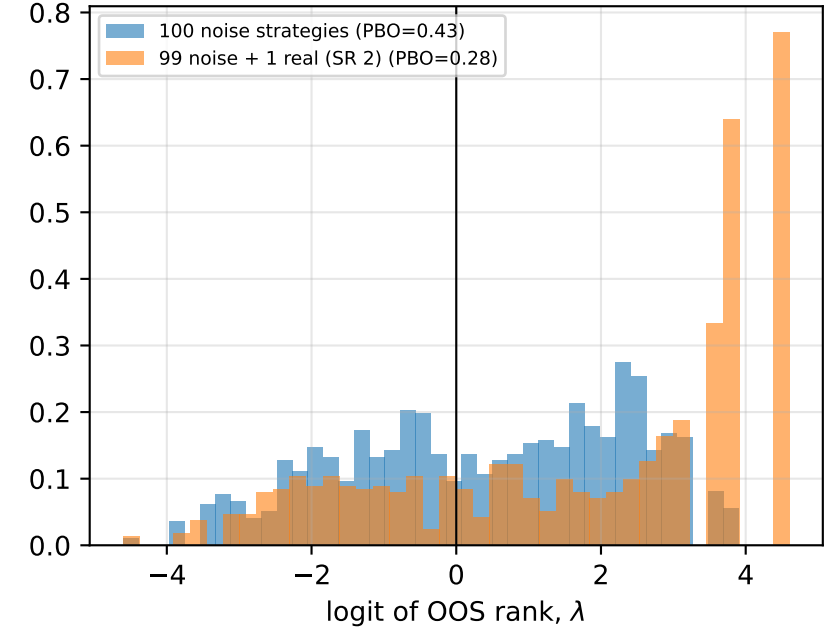
100 noise strategies (PBO=0.43)
99 noise + 1 real (SR 2) (PBO=0.28)
0.8
0.7
0.6
0.5
0.4
0.3
0.2
0.1
0.0
−4
−2
0
2
4
logit of OOS rank, λ

100 noise strategies
99 noise + 1 real (SR 2)
its out-of-sample Sharpe
2
1
0
−1
−2
1.25
1.50
1.75
2.00
2.25
2.50
2.75
3.00
in-sample Sharpe of the selected strategy